

GAME CHANGER

Vellayan Subbiah, the fourth-generation Murugappa Group scion, has successfully turned around debt-ridden CG Power, and is now helping future-proof TII by focusing on a new set of businesses

By **Vidya S.**



FORESIGHT Vellayan Subbiah, Executive Vice Chairman, Tube Investments of India

102 |

► **A FLOOR DESK** and chairs welcome us as we enter Vellayan Subbiah's 'strictly shoes-off' and minimalist office in Chennai, which requires sitting cross-legged on the ground. Slight and athletic, he is at ease in this arrangement—no wonder the 54-year-old Executive Vice Chairman of southern conglomerate Murugappa Group's Tube Investments of India (TII) rode shotgun on a 50-hour truck ride from Delhi to Mumbai in 2016. As Managing Director of the group company Cholamandalam Investment & Finance Company (CIFIC), it was important for him to gain a deeper understanding of truck companies, who were major customers. It was also a ride during which he supposedly kept up his yoga practice in a moving truck.

A few years after he joined the engineering and component maker TII as its MD-designate in 2017, the management recognised the need to shift away from relying heavily on the cyclical auto industry to achieve sustainable growth. TII, best known as the parent of BSA Cycles, specialises in manufacturing precision steel tubes and strips, automotive and industrial chains, car door frames, and bicycles. Back then, automobiles accounted for over

70% of its revenues. The business had to be derisked. "It was basically that if auto is not growing, how do you make up through growth in other sectors?" explains Vellayan, the fourth-generation Murugappa Group scion.

Inspired by leading auto parts manufacturers globally and domestically, such as American diversified conglomerates Danaher Corporation and ITW, Motherson Sumi, and Sundram Fasteners (from the erstwhile TVS Group where Vellayan has worked), a three-engine growth plan was drawn up—TI-1 or core business; TI-2 or frontier businesses; and TI-3 for inorganic growth through acquisitions. Danaher, a firm he has tracked since 1995 and one that safeguarded itself from cyclical loops to grow through acquisitions, offered a solid playbook. In the past, Danaher would acquire firms that were not considered top performers and then work to improve their performance.

To its credit, TII too has acquired and turned around a debt-ridden and fraud-hit company—CG Power and Industrial Solutions. TII first noticed the troubles of the motor and generator maker, formerly owned by Gautam Thapar-led Avantha Group, when it defaulted on

► Patient Play

❶ In 2020, TII acquired debt-ridden and fraud-hit CG Power and Industrial Solutions

❷ CG Power turned debt-free in March 2022 under Chairman Vellayan Subbiah

❸ The acquisition has boosted TII's consolidated financials and driven multi-fold returns for shareholders